

LEGISLATURE OF THE STATE OF IDAHO
Sixty-eighth Legislature Second Regular Session - 2026

IN THE HOUSE OF REPRESENTATIVES

HOUSE BILL NO. 670

BY REVENUE AND TAXATION COMMITTEE

AN ACT

RELATING TO URBAN RENEWAL; AMENDING SECTION 50-2906, IDAHO CODE, TO REVISE
A PROVISION REGARDING SPECIAL RULES FOR CERTAIN TAXING DISTRICTS; AND
DECLARING AN EMERGENCY.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. That Section 50-2906, Idaho Code, be, and the same is hereby
amended to read as follows:

50-2906. PUBLIC HEARING AND ORDINANCE REQUIRED -- SPECIAL RULES FOR
CERTAIN TAXING DISTRICTS. (1) To adopt a new urban renewal plan or create
a competitively disadvantaged border community area containing a revenue
allocation financing provision, the local governing body of an authorized
municipality must enact an ordinance in accordance with chapter 9, title 50,
Idaho Code, and section 50-2008, Idaho Code. To modify an existing urban
renewal plan, to add or change a revenue allocation, an authorized munici-
pality must enact an ordinance in accordance with chapter 9, title 50, Idaho
Code, and conduct a public hearing as provided in section 50-2008(c), Idaho
Code. No urban renewal project, plan, competitively disadvantaged border
community area or modification thereto, or revenue allocation financial
provision shall be held ineffective for failure to comply with the require-
ments of this section if compliance with the section is substantial and in
good faith and administrative authority of both the local governing body
and urban renewal agency does not extend beyond the municipal boundary of
the authorized municipality. Urban renewal plans and revenue allocation
financing provisions may be held ineffective if an urban renewal area or rev-
enue allocation area extends outside the municipal boundary of an authorized
municipality and a transfer of powers ordinance has not been adopted by the
cooperating county.

(2) A revenue allocation financing provision adopted in accordance
with this chapter shall be effective retroactively to January 1 of the year
in which the local governing body of the authorized municipality enacts such
ordinance.

(3) (a) Prior to taking action on an ordinance to adopt a revenue alloca-
tion financing provision, the local governing body of an authorized mu-
nicipality shall prepare a notice stating:

(i) That an urban renewal plan or modification thereto or a com-
petitively disadvantaged border community area has been proposed
and is being considered for adoption, and that such plan or modi-
fication thereto or proposal to create a competitively disadvan-
taged border community area contains a revenue allocation financ-
ing provision that will cause property taxes resulting from any
increases in equalized assessed valuation in excess of the equal-
ized assessed valuation as shown on the base assessment roll to be

1 allocated to the agency for urban renewal and competitively disad-
2 vantaged border community area purposes;

3 (ii) That an agreement on the administration of a revenue alloca-
4 tion financing provision extending beyond the municipal boundary
5 of the authorized municipality has been negotiated with the coop-
6 erating county having extraterritorial power and that the agree-
7 ment has been formalized by a transfer of power ordinance adopted
8 by that county; and

9 (iii) That a public hearing on such plan or modification will be
10 held by the local governing body pursuant to section 50-2008(c),
11 Idaho Code.

12 (b) The notice shall also state the time, date, and place of the hear-
13 ing. At least thirty (30) days but not more than sixty (60) days prior
14 to the date set for final reading of the ordinance, the local governing
15 body shall publish the notice in a newspaper of general circulation and
16 transmit the notice, together with a copy of the plan and recommenda-
17 tion of the urban renewal agency or the municipality which by ordinance
18 created the competitively disadvantaged border community area, to the
19 governing body of each taxing district which levies taxes upon any tax-
20 able property in the revenue allocation area and which would be affected
21 by the revenue allocation financing provision of the urban renewal plan
22 proposed to be approved by the local governing body.

23 (4) No fire protection district or ambulance service district shall be
24 subject to the financing provisions of an urban renewal revenue allocation
25 area, or any modification thereof, created or modified after July 1, 2025,
26 unless the local governing body of the authorized municipality proposing to
27 create or modify such financing provision requests such district to consent
28 to be subject to the financing provision and the district receiving such
29 request consents. To request such a district to consent, the local governing
30 body of an authorized municipality shall send a request to the district at
31 the same time it sends notice to taxing districts of its intent to create or
32 modify an urban renewal plan that includes a revenue allocation financing
33 provision pursuant to subsection (3) of this section. If the governing board
34 of the district receiving a request to consent agrees with the request, it
35 shall adopt a resolution providing that such district shall be subject to
36 the financing provisions of the proposed urban renewal area plan or proposed
37 urban renewal area plan modification that was identified in the request, and
38 shall thereafter be subject to such financing provision. The consenting
39 district shall, within ten (10) business days, file a copy of the resolution
40 with the local governing body of the authorized municipality. Upon receipt
41 of the district's resolution consenting to be subject to the financing pro-
42 vision, the governing body of the municipality shall transmit a copy of such
43 resolution to the county clerk and the state tax commission within ten (10)
44 business days.

45 (5) (a) Any fire protection district or ambulance service district may
46 withdraw from being subject to an urban renewal revenue allocation fi-
47 nancing provision under an urban renewal plan established by local gov-
48 erning body ordinance prior to July 1, 2025, if the urban renewal plan
49 establishing the revenue allocation financing provision does not have
50 any outstanding bonds, contractual obligations, or other indebtedness

1 being funded by such revenue allocation financing provision greater
 2 than the amount of the revenue allocation proceeds that was attribut-
 3 able to the fire protection district or ambulance service district as of
 4 December 31 of the immediate prior tax year.

5 (b) Any fire protection district or ambulance service district that
 6 seeks to withdraw shall:

7 (i) By May 1 of the withdrawal year request an accounting from
 8 the county showing the amount of revenue allocation proceeds that
 9 was attributable to the fire protection district or ambulance ser-
 10 vice district as of December 31 of the immediate prior tax year. A
 11 copy of the accounting shall be simultaneously transmitted by the
 12 county to the requesting district and the agency within fifteen
 13 (15) days of receipt of the request from the district; and

14 (ii) By June 1 of the withdrawal year adopt a resolution express-
 15 ing an intent to withdraw and transmit the same to the urban re-
 16 newal agency that governs the urban renewal plan and revenue al-
 17 location financing provision that the district seeks to withdraw
 18 from.

19 (c) The agency shall schedule a special meeting within ten (10) busi-
 20 ness days of receipt of the fire protection district's or ambulance ser-
 21 vice district's resolution approving the withdrawal and the accounting
 22 from the county to accept the request to withdraw by agency resolution,
 23 or to deny the request to withdraw in writing due to the existence of
 24 outstanding bonds, contractual obligations, or other indebtedness be-
 25 ing funded by the district's revenue allocation proceeds, and setting
 26 forth specific information about the indebtedness.

27 (d) The agency shall not deny a fire protection district's or ambulance
 28 service district's request to withdraw if there are no outstanding
 29 bonds, contractual obligations, or other indebtedness being funded by
 30 the district's revenue allocation proceeds or if the agency has suffi-
 31 cient revenue allocation proceeds from other sources to satisfy current
 32 outstanding bonds, contractual obligations, or other indebtedness.

33 ~~(d)~~ (e) If the withdrawal is accepted, the urban renewal agency shall
 34 transmit a copy of the district resolution and the agency resolution to
 35 the county clerk, the county recorder, and the state tax commission no
 36 later than the fourth Monday of July. If the resolutions are received
 37 by the state tax commission and the county by the fourth Monday of July,
 38 then the levy rate for the next fiscal year will be calculated pursuant
 39 to section 50-2908(1) (g), Idaho Code, and any budget increases as set
 40 forth in sections 63-802 and 63-301A, Idaho Code. If the resolutions
 41 are transmitted to the county clerk, the county recorder, and the state
 42 tax commission after the fourth Monday of July, then the effect of the
 43 withdrawal will be the following tax year.

44 (f) For the purposes of this subsection, "contractual obligation"
 45 means an obligation expressly set forth in a written contract or other
 46 written agreement that is executed by the parties to such contract or
 47 agreement.

48 SECTION 2. An emergency existing therefor, which emergency is hereby
 49 declared to exist, this act shall be in full force and effect on and after its
 50 passage and approval.